



PRESSURE POINT

EVEN AS GAS PRICES HAVE MODERATED FROM THEIR RECENT HIGHS, THEY REMAIN ELEVATED

WIM BRENT LINKED,
GIXI HPHT APM

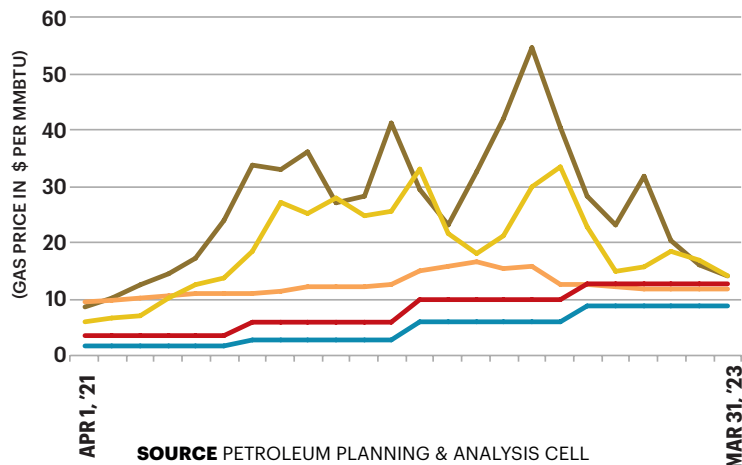
WIM WEST INDIA MARKER

GIXI INDEX OF INDIAN GAS EXCHANGE

HPHT HIGH PRESSURE, HIGH
TEMPERATURE

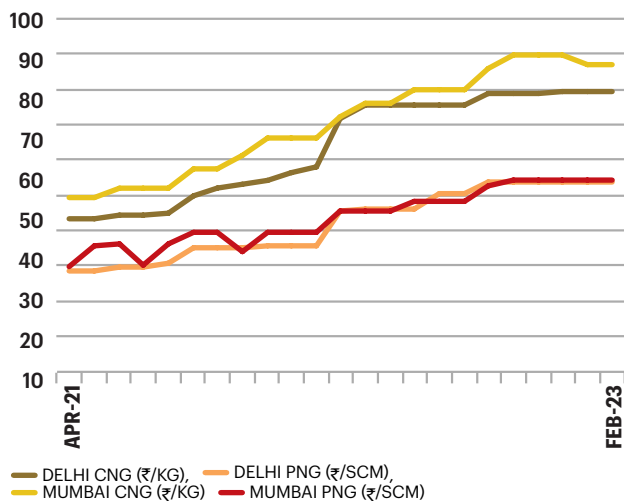
APM ADMINISTERED PRICE
MECHANISM

WIM & BRENT LINKED PRICES ARE
ESTIMATED EX-TERMINAL PRICES



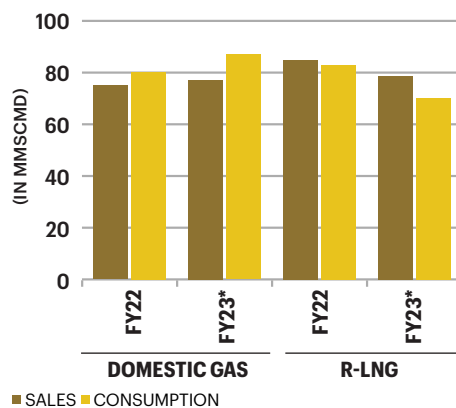
STEPPING ON THE GAS

CNG AND PNG PRICES HAVE INCREASED SIGNIFICANTLY



HEAT TRAP

CONSUMPTION OF DOMESTIC GAS HAS SPIKED IN THE PAST ONE YEAR



MMSCMD MILLION METRIC STANDARD CUBIC
METRE PER DAY; R-LNG REGASIFIED LNG *APRIL
2022-FEBRUARY 2023

SOURCE PETROLEUM PLANNING & ANALYSIS CELL

started avoiding expensive natural gas,” says Harshavardhan Dole, Energy Analyst at IIFL Securities. “The [new] formula is a win-win for all because it will help bring clarity to the natural gas price movement over a long period of time,” he adds.

Rajesh Kumar Mediratta, MD & CEO of Indian Gas Exchange (IGX), the country’s largest gas exchange, says it would have been best if gas pricing could have been market-driven. “But seeing that our CGD companies are constrained

to get gas at subsidised prices, the committee has tried balancing the demands of CGD companies, other industrial sectors and gas-producing companies.” Parikh, however, defends the decision, saying this has been done to keep the ceiling price at a level that makes shifting to PNG and CNG a lucrative proposition for consumers. “The price had to be fixed to align with the average cost of the Indian basket for importing crude oil in the previous month. And why was it linked to crude oil?

That’s because when you have gas prices related to crude oil prices, you can be sure the domestic consumer will find PNG and CNG to be cheaper than LPG and diesel.” Calling the realignment in the pricing mechanism a much-needed relief for the transportation sector, Vinod Aggarwal, President of the industry body Society of Indian Automobile Manufacturers, and MD & CEO of commercial vehicles maker VECV, says, “This measure will also help in reigniting interest in CNG vehicles